

Figure B.19 Monthly Differences in Parity Portfolio Performance, 1974–2012

PARITY PORTFOLIO DRAWDOWN

As was the case with individual assets and the 60/40 portfolio, 12-month absolute momentum excels in reducing the parity portfolio drawdown, as [Figures B.20](#) and [B.21](#) show.

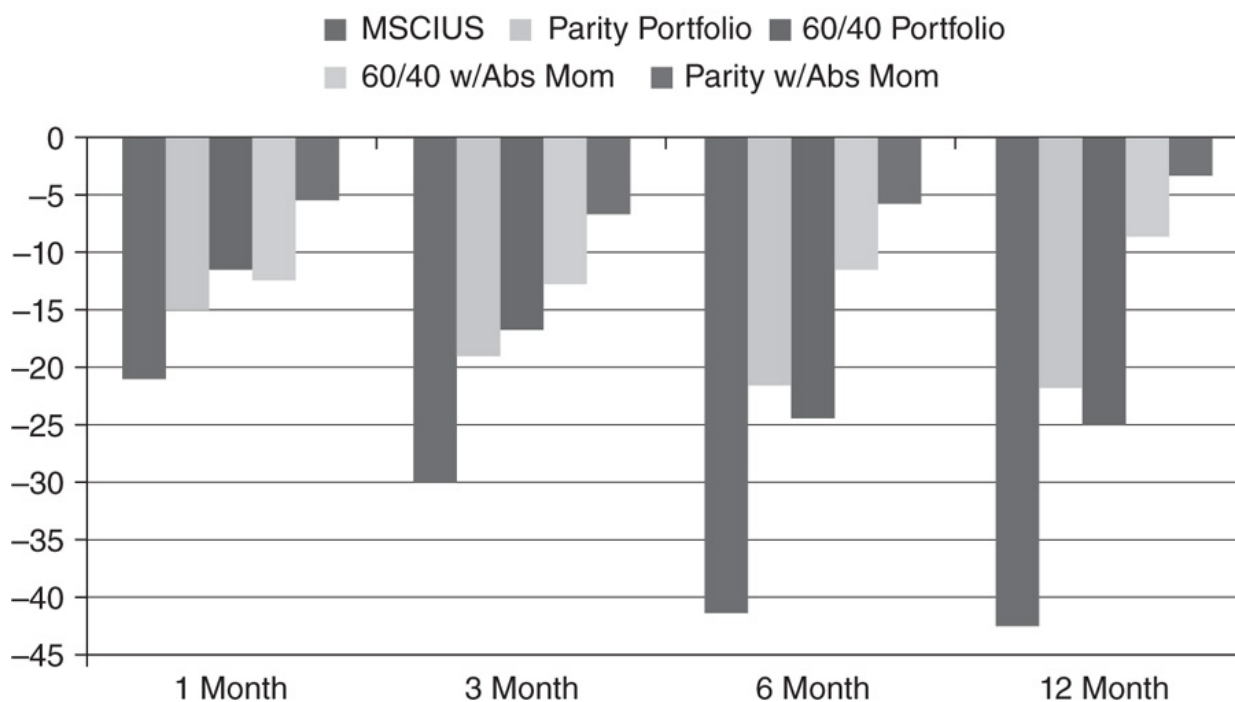


Figure B.20 One- to Twelve-month Maximum Drawdown, 1974–2012